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TAB 11



Board of Education Report

File #: Rep-116-24/25, Version: 1

Establish Fund 17 Special Reserve Fund for Other Than Capital Outlay Projects

November 19, 2024

Office of the Chief Financial Officer

Action Proposed:

- 1) Adopt the resolution that authorizes the Chief Financial Officer to establish Fund 17 “Special Reserve Fund for Other Than Capital Outlay Projects.” (Attachment A)
- 2) Delegate authority to the Chief Financial Officer or designee to make interfund transfers between the General Fund and Fund 17.

Background:

The California School Accounting Manual describes Fund 17 as a fund used primarily to provide for the accumulation of general fund moneys for general operating purposes other than for capital outlay (Education Code Section 42840). Amounts from this special reserve fund must first be transferred into the general fund or other appropriate fund before expenditures may be made (Education Code Section 42842). This fund is authorized by statute and functions effectively as an extension of the general fund. For presentation in the audited financial statements, this fund may either be combined with the general fund or be reported separately and the departure from GAAP explained.

Expected Outcomes:

The accumulation of general fund moneys committed for a specific purpose other than for capital outlay projects would be accounted for in Fund 17. The establishment of this Fund will allow Los Angeles Unified to use Fund 17 in order to account for General Fund reserve balances separate from Unrestricted General Fund in Fund 1.

Board Options and Consequences:

Without prior board authorization, any new funds cannot be officially established in the books.

Policy Implications:

None

Budget Impact:

None

Student Impact:

None

Issues and Analysis:

None

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Attachments:

Attachment A - Board Resolution to Establish Fund 17 Special Reserve Fund for Other Than
Capital Projects

Informatives:

None

Submitted:

11/07/24

RESPECTFULLY SUBMITTED,

APPROVED BY:


ALBERTO M. CARVALHO
Superintendent
PEDRO SALCIDO
Deputy Superintendent
Office of the Deputy Superintendent

REVIEWED BY:

APPROVED & PRESENTED BY:


DEVORA NAVERA REED
General Counsel
CHRIS MOUNT-BENITES
Interim Chief Financial Officer
Office of the Chief Financial Officer☒ Approved as to form.

REVIEWED BY:


NOLBERTO DELGADILLO
Deputy Chief Financial Officer, Finance☒ Approved as to budget impact statement.

**LOS ANGELES UNIFIED SCHOOL DISTRICT
BOARD OF EDUCATION**

**RESOLUTION AUTHORIZING THE ESTABLISHMENT OF
FUND 17 SPECIAL RESERVE FUND FOR OTHER THAN CAPITAL OUTLAY
PROJECTS**

WHEREAS, the governing board of the Los Angeles Unified School District desires to establish a new Fund 17 “Special Reserve Fund for Other Than Capital Outlay Projects” primarily to provide for the accumulation of general fund moneys for general operating purposes other than for capital outlay (Education Code Section 42840); and

WHEREAS, amounts from this special reserve fund must first be transferred into the general fund or other appropriate fund before expenditures may be made (Education Code Section 42842); and

WHEREAS, this fund functions effectively as an extension of the general fund; and

WHEREAS, for presentation purposes in the audited financial statements, this fund may either be combined with the general fund or be reported separately and the departure from Generally Accepted Accounting Principles explained.

NOW, THEREFORE, BE IT RESOLVED, that the Governing Board of the Los Angeles Unified School District hereby authorizes the establishment of Fund 17 “Special Reserve Fund for Other Than Capital Outlay Projects.”

THIS RESOLUTION is effective on the date of adoption until revoked or superseded.

APPROVED, PASSED, AND ADOPTED by the Governing Board of the Los Angeles Unified School District this 19th day of November 2024, by the following vote:

AYES: _____

NOES: _____

ABSENT: _____

President, Governing Board

Clerk/Secretary of the Governing Board